

PT International Nickel Indonesia (INCO) Tbk. Mining and Mining Services

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Business Nickels Mining

Company Status PMA

Financial Performance: In 2010, the Company booked net income amounted USD 437.36 million, increase from USD 170.42 million recorded last year.

Brief History: The company was founded on July 25, 1968, and carries out its operations under a Contract of Work signed with the Government of Indonesia on July 27 of the same year. This Contract of Work, which expires on March 31, 2008, empowers the company to develop and operate a mining project for nickel and other specified minerals in a stipulated area on Sulawesi island. In 1990, the company floated 49.7 million shares in an initial public offering, with the shares listed on the Jakarta Stock Exchange on May 16, 1990. On January 15, 1996, the company and the government signed an Agreement for Amendment and Extension of the 1968 Contract of Work, extending the company's concession until 2025. Under the terms of the Extension Agreement, the company agreed to a 50% expansion of the existing mining and processing facilities at Sorako to 68 thousand tons of nickel matte per annum. Included in this expansion are the construction of the fourth smelter line, modifications of existing facilities to maximize production, and construction of additional hydropower facilities. In 2000, the company reached an all-time production record of 59,200 tons, or 130.5 million pounds of nickel matte, following the completion of expansion at the end of 1999. The company has taken a decision to delist from the Surabaya Stock Exchange because of the almost complete lack of trading activity in its shares on that exchange and expects to complete this delisting process in 2001. Meanwhile, its shares continue to be traded actively on the Jakarta Stock Exchange. The company proved up new geologic resources in Petea, estimated at 13.6 million tonnes containing 1.79 per cent nickel, which the company expect to bring into production by 2004. On February 1, 2003, the company signed a Cooperative Resource Agreement with PT Aneka Tambang with saprolite ore mined by the company from its Pomalaa East deposit in Southeast Sulawesi.

Shareholders

Vale Canada Limited	58.73%
Sumitomo Metal Mining Co. Ltd.	20.09%
Vale Japan Limited	0.55%
Sumitomo Corporation	0.14%
Public	20.49%

Summary of Financial Statement

(Million Rupiah)			
	2008	2009	2010
Total Assets	20,182,887	19,157,200	19,692,403
Current Assets	5,306,490	5,914,818	6,398,850
of which			
Cash and cash equivalents	1,818,872	2,453,870	3,633,524
Trade receivables	696,048	918,869	1,115,432
Inventories	1,609,814	1,105,901	916,956
Non-Current Assets	14,876,396	13,242,382	13,293,553
of which			
Fixed Assets-Net	14,630,536	12,963,568	13,167,391
Other Assets	245,860	278,813	115,274
Liabilities	3,529,207	4,292,924	4,588,961
Current Liabilities	1,113,681	817,443	1,421,450
of which			
Trade payables	487,264	309,298	372,407
Taxes payable	62,853	81,893	444,299
Current maturities of long-term debt	65,886	16,055	n.a
Non-Current Liabilities	2,415,526	3,475,481	3,167,511
Shareholders' Equity	16,653,680	14,864,276	15,103,441
Paid-up capital	1,493,722	1,282,282	1,226,489
Additional paid-up capital	3,041,472	2,610,944	2,497,340
Retained earnings	12,118,485	10,971,050	11,379,612
Net Sales	14,367,462	7,152,949	11,475,420
Cost of Goods Sold	8,852,768	4,850,955	5,864,335
Gross Profit	5,514,694	2,301,994	5,611,085
Operating Expenses	277,769	122,369	249,087
Operating Profit	5,236,925	2,179,625	5,361,999
Other Income (Expenses)	(164,316)	45,393	(137,571)
Profit before Taxes	5,072,609	2,225,018	5,224,427
Profit after Taxes	3,934,510	1,601,920	3,932,331
Per Share Data (Rp)			
Earnings per Share	395	187	481
Equity per Share	1,672	1,739	1,847
Dividend per Share	n.a	n.a	125
Closing Price	1,930	3,650	4,875
Financial Ratios			
PER (x)	4.88	19.48	10.14
PBV (x)	1.15	2.10	2.64
Dividend Payout (%)	n.a	n.a	26.03
Dividend Yield (%)	n.a	n.a	2.57
Current Ratio (x)	4.76	7.24	4.50
Debt to Equity (x)	0.21	0.29	0.30
Leverage Ratio (x)	0.17	0.22	0.23
Gross Profit Margin (x)	0.38	0.32	0.49
Operating Profit Margin (x)	0.36	0.30	0.47
Net Profit Margin (x)	0.27	0.22	0.34
Inventory Turnover (x)	5.50	4.39	6.40
Total Assets Turnover (x)	0.71	0.37	0.58
ROI (%)	19.49	8.36	19.97
ROE (%)	23.63	10.78	26.04

PER = 11.14x ; PBV = 2.93x (June 2011)

Financial Year: December 31

Public Accountant: Haryanto Sahari & Co. (2009); Tanudiredja, Wibisana & Co. (2010)

(million rupiah)		
	2011	2010
Total Assets	20,608,900	19,602,340
Current Assets	6,989,507	6,635,159
Non-Current Assets	13,619,393	12,967,181
Liabilities	5,367,159	4,524,533
Shareholders' Equity	15,241,742	15,077,807
Net Sales	6,150,130	5,624,057
Profit after Taxes	2,047,333	1,987,351
ROI (%)	9.93	10.14
ROE (%)	13.43	13.18
In June		

Board of Commissioners

President Commissioner Gerd Peter Poppinga
Vice President Commissioner Arief T. Surowidjojo
Commissioners Takeshi Kubota, Harumasa Kurokawa,
 Jennifer A. Maki, Irwandy Arif, Mark J. Travers,
 Arief S. Siregar, Tito Botelho Martins

Board of Directors

President Director Nicolaas D. Kanter
Vice President Director Bernadus Irmanto
Directors Fabio Hilal Bechara, Josimar S. Pires,
 Michael J. O'Sullivan

Number of Employees 3,215

No	Type of Listing	Listing Date	Trading Date	Number of Shares per Listing	Total Listed Shares
1	First Issue	16-May-90	16-May-90	49,681,694	49,681,694
2	Company Listing	31-Jan-01	31-Jan-01	198,726,774	248,408,468
3	Stock Split	3-Aug-04	3-Aug-04	745,225,404	993,633,872
4	Stock Split	15-Jan-08	15-Jan-08	8,942,704,848	9,936,338,720

Underwriter

PT Danareksa Sekuritas

Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization

Month	Stock Price			Shares Traded		Frequency	Trading Day	Listed Shares	Market Capitalization
	High (Rp)	Low (Rp)	Close (Rp)	Volume (Thousand Shares)	Value (Rp Million)				
January-10	4,025	3,500	3,575	367,204.00	1,387,882.00	23,015	20	9,936,338,720	35,522,411.00
February-10	3,900	3,350	3,775	370,478.00	1,357,914.00	18,721	19	9,936,338,720	37,509,679.00
March-10	4,775	3,800	4,725	512,410.00	2,157,873.00	27,995	22	9,936,338,720	46,949,200.00
April-10	5,200	4,525	5,000	433,526.00	2,125,079.00	24,035	21	9,936,338,720	49,681,694.00
May-10	5,100	3,200	3,950	604,967.00	2,486,214.00	44,740	19	9,936,338,720	39,248,538.00
June-10	4,100	3,575	3,750	332,222.00	1,283,489.00	21,648	22	9,936,338,720	37,261,270.00
July-10	4,225	3,600	4,125	418,639.00	1,632,183.00	29,217	22	9,936,338,720	40,987,397.00
August-10	4,475	4,050	4,275	454,709.00	1,958,522.00	25,439	21	9,936,338,720	42,477,848.00
September-10	4,900	4,125	4,875	369,848.00	1,694,722.00	23,841	17	9,936,338,720	48,439,651.00
October-10	5,100	4,650	4,750	290,737.00	1,423,720.00	23,002	21	9,936,338,720	47,197,609.00
November-10	5,000	4,475	4,475	282,953.00	1,363,220.00	20,292	21	9,936,338,720	44,465,116.00
December-10	4,875	4,425	4,875	146,351.00	681,539.00	15,850	20	9,936,338,720	48,439,651.00
January-11	5,000	4,475	4,600	217,052.00	1,032,126.00	19,615	21	9,936,338,720	45,707,158.00
February-11	5,200	4,675	5,050	182,851.00	911,378.00	15,698	18	9,936,338,720	50,178,511.00
March-11	5,150	4,525	4,775	263,637.00	1,259,948.00	27,569	23	9,936,338,720	47,446,017.00
April-11	5,100	4,675	4,975	224,850.00	1,095,998.00	22,181	20	9,936,338,720	49,433,285.00
May-11	5,000	4,775	4,775	181,462.00	878,385.00	14,242	21	9,936,338,720	47,446,017.00
June-11	4,850	4,375	4,500	138,739.00	634,003.00	14,822	20	9,936,338,720	44,713,524.00

Stock Price and Traded Chart